

Hence this price range becomes a strong resistance. In the second half, the price struggled to break above this level and displayed a significant fall.

There are many day trading strategies revolves around the IB range. The popular among all the techniques is the Open Range Breakout (ORB) Strategy. It involves taking a long trade if the price breaks IB high and opting for a short trade if it breaks IB low.

This strategy is covered in detail along with the entry/exit rules and backtesting results in chapter-5.

Conclusion

Two concepts are essential in intraday trading to get the best 'Entry' and 'Exit' points to achieve better risk-reward:

- 1) Identification of crucial price levels
- 2) Price behavior near these levels (whether it holds or fails)

In this chapter, I have introduced all the significant price levels which play a critical role in day trading. A few questions already might be popping up in your mind, such as, 'how to identify whether IBL or PDL acts as a support or not?', 'how to know whether IBH or PDH acts as resistance or not?', etc.

These questions are valid, and to get the answers, we need to study in-depth the price action near these price levels.

Beginners can rely on some powerful candlestick formations (explained in the next chapter), and intermediate-level traders can use price acceptance/rejection concepts that will dissolve these doubts and will be introduced in subsequent chapters.